

25STCV31563 25STCV31563

County: los-angeles

Division: Civil Law and Motion

Department: 731

Hearing date: 2026-09-22

Motion: DEFENDANTS 7980 SUNSET ASSOCIATES, CORAL REALTY, INC., AND A. DOUGLAS RICKARD'S
DEMURRER TO PLAINTIFF'S SECOND AMENDED COMPLAINT

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Case Number: 25STCV31563 Hearing Date: September 22, 2026 Dept: 731

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS
ANGELES - CENTRAL DISTRICT

NUNZIO DONATO CIARAULO, AN
INDIVIDUAL DBA VIVOLI CAFÉ,

Plaintiff,

vs.

7980 SUNSET ASSOCIATES, A
CALIFORNIA PARTNERSHIP; CORAL REALTY, INC., A

CALIFORNIA STOCK CORPORATION;
A. DOUGLAS RICKARD, AN INDIVIDUAL; and DOES 1-50, inclusive,

Defendants.

AND RELATED CROSS PLEADINGS.

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CASE NO: 25STCV31563

[TENTATIVE] ORDER RE: DEFENDANTS

7980 SUNSET ASSOCIATES, CORAL REALTY, INC., AND A. DOUGLAS RICKARD'S DEMURRER
TO PLAINTIFF'S SECOND AMENDED COMPLAINT

Dept. 731

September 22, 2026

8:30 A.M.

Matter No. 14

Moving Party: Defendants 7980 Sunset Associates, Coral Realty, Inc.,
and A. Douglas Rickard

Opposing Party: Plaintiff, Nunzio Donato Ciaraulo

Notice: OK

Background Facts

This cross-action arises
from a landlord-tenant dispute involving the two commercial leases
governing Plaintiff/Cross-Defendant Nunzio Donato Ciaraulo's
tenancy at 7992 Sunset Blvd. and 7994 Sunset Blvd. in the Sunset-Laurel
Plaza, Los Angeles, California shopping center.

Pleadings

i. Plaintiff's

Second Amended Complaint

Plaintiff Nunzio Donato Ciaraulo ("Plaintiff"),
an individual doing business as Vivoli Café, sues 7980 Sunset Associates ("Sunset"),
Coral Realty, Inc. ("Coral Realty"), A. Douglas Rickard ("Rickard"), ADR
Preferred Business Properties ("ADR"), and Does 1-50. Plaintiff asserts causes
of action for Breach of Contract, Fraudulent Misrepresentation and Concealment,
Negligent Misrepresentation, Breach of the Implied Covenant of Good Faith and Fair
Dealing, Private Nuisance, Negligence, Violation of the Unruh Civil Rights Act,
and Breach of Fiduciary Duty. The claims address the parties' landlord-tenant
relationship for units 7992 and 7994 West Sunset Boulevard, commercial real
estate property, including alleged concealment of Conditional Use Permit
restrictions restricting use of the 7992 West Sunset space as a restaurant,
improper CAM and valet-related charges, failure to maintain common areas and
sewer systems, accessibility issues, and interference with Plaintiff's
restaurant operations.

ii. Defendants'

Cross-Complaint

In turn, Sunset, as landlord of the Premises, brings a Cross-Complaint against Plaintiff and Roes 1-10 pursuant to claims of Breach of the 7994 Lease and Breach of the 7992 Lease. The claims arise from Plaintiff's alleged failure to pay rent, CAM charges, late fees, and other monetary obligations under both leases, ultimately resulting in two separate unlawful detainer actions, termination of both leases, and monetary judgments.

Motion Before the Court

Now before the Court is Defendants 7980 Sunset Associates, Coral Realty, Inc., and A. Douglas Rickard's opposed demurrer to the second through eighth causes of action alleged in Plaintiff's June 30, 2026, Second Amended Complaint ("SAC").

Demurrer

Meet and Confer

The Court determines that sufficient meet and confer efforts preceded the filing of Defendants' demurrer. (Demurrer, Adelson Decl., ¶ 2; see Code Civ. Proc., § 430.41, subds. (a)(3)(A).)

b. Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see Code Civ. Proc., § 430.10, subd. (e).)

To sufficiently allege a cause of action, a complaint must allege all the ultimate facts—that is, the facts needed to establish each element of the cause of action pleaded. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197,

212, superseded by statute as stated in *Branick v. Downey Savings & Loan Assn.* (2006) 39 Cal.4th 235, 242.) “[E]ach evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (C.A. v. *William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872.)

In testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.) Courts read the allegations liberally and in context. (*Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228, disapproved on other grounds, *Jones v. Lodge at Torrey Pines Partnership* (2008) 42 Cal.4th 1158, 1162.) A demurrer, however, “does not admit contentions, deductions or conclusions of fact or law.” (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.)

A demurrer may only be used to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The face of the complaint includes exhibits attached to the complaint. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.) If facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence. (*Holland v. Morse Diesel Intern., Inc.* (2001) 86 Cal.App.4th 1443, 1447, superseded by statute on other grounds as stated in *White v. Cridlebaugh* (2009) 178 Cal.App.4th 506, 521.)

Discussion

i. Demurrer,
Second and Third Causes of Action, Fraudulent Misrepresentation and Concealment and Negligent Misrepresentation

After review, the Court SUSTAINS
Defendants’ demurrer to the SAC’s second cause of action, WITHOUT leave to amend.

Claims for fraud by way of
intentional and negligent misrepresentation require a showing of justifiable reliance on material misrepresentations of fact. (*Service by Medallion, Inc. v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1816 [elements of

intentional misrepresentation]; B.L.M. v. Sabo & Deitsch (1997) 55 Cal.App.4th 823, 834 [same for negligent misrepresentation].) Here, the SAC fails to allege such justifiable reliance.

The SAC alleges misrepresentations by way of Defendants' conduct in relation to the 7992 West Sunset space, which the City found was impermissibly being used as a restaurant, with Defendants misrepresenting the suitability of the 7992 West Sunset space as a restaurant annex, the percentage rate for CAM charges, the availability of parking and valet arrangements, and the availability of information regarding legality or suitability of the intended use for the 7992 West Sunset space. (See, e.g., SAC, ¶ 150.)

These allegations mirror allegations in the Complaint and the First Amended Complaint ("FAC"). (Cf., e.g., Complaint, ¶ 29 & FAC, ¶¶ 61-62.)

The Court has twice found those allegations insufficiently allege reliance in connection with the fraud claims. (See Mar. 10, 2026, Order, pp. 5-6; Jun. 11, 2026, Order, p. 6.)

Defendants' now again demur to the fraud claims based on lack of sufficiency of pleading as to justifiable reliance. (Demurrer, pp. 6-10.)

Plaintiff argues in opposition that the SAC has been amended to properly allege that justifiable reliance. (Opposition, pp. 2, 9-10, 13-14.)

However, the Court agrees with Defendants, with the SAC approximating a sham pleading.

Here, as with the Court's orders relating to demurrers to the original Complaint and First Amended Complaint, respectively dated March 10, 2026 (at pp. 5-6) and June 11, 2026 (at p. 6), the SAC fails to sufficiently allege reliance, either based on past conduct or otherwise, specifically based on the clause in the parties' November 1, 2018, lease for the 7992 Sunset Blvd. space, specifying that "Tenant acknowledges and understands that neither Landlord nor any of Landlord's agents or attorneys have made any representations or warranties, expressed or implied, as to the

present or future suitability of the Premises for the conduct of the Tenant's business, use and occupancy, the legality of Tenant's proposed business or improvements under . . . applicable laws." (See FAC, Exh. B at p. 6, § 6 [italics in original].)

This lease was not attached to the SAC, which results in a sham pleading insofar as the SAC is avoiding the incorporation factor of attaching the lease agreement to the pleadings, as Plaintiff did with the Complaint and FAC, having attached the November 1, 2018, lease agreement for the 7992 West Sunset space as Exhibit B. A sham amendment occurs when the plaintiff attempts to avoid a defect in the original complaint by filing an amended complaint that omits, corrects, or substitutes new facts for the facts creating the defect. (See *Vallejo Dev. Co. v. Beck Dev. Co.* (1994) 24 Cal.App.4th 929, 946 (Vallejo); *Lee v. Hensley* (1951) 103 Cal.App.2d 697, 709.) An amendment that omits, corrects, or substitutes new facts for facts stated in the original complaint in an attempt to avoid a material defect in the complaint does not supersede the original complaint if the plaintiff does not adequately explain the reason for the omission, correction, or substitution. (Vallejo, *supra*, 24 Cal.App.4th at p. 946.) Here, the Court determines that the FAC is not superseded by the filing of the SAC insofar as the SAC fails to attach a copy of the lease attached as Exhibit B to the Complaint and FAC, which the Court reads as an existing component of the pleadings given the failure of the face of the SAC and the opposition to demurrer to explain the omission thereof.

As with the Court's March 10, 2026, Order (at pp. 5-6) and June 11, 2026, Order (at p. 6), the Court here determines that the release clause paraphrased above disclaims the justifiable reliance that Plaintiff attempts to use to remedy the shortcomings identified in the Court's March and June Orders. (See, e.g., Opposition, 10:14-19 [arguing sufficiency of reliance in pleading based on allegations of newly pleaded communications, superior knowledge, partial disclosures, longstanding course of dealing, and licensed-agent participation create a factual question concerning whether Plaintiff's reliance was reasonable].)

ii. Demurrer,

Fourth Cause of Action, Breach of the Implied Covenant of Good Faith and Fair Dealing

The Court also SUSTAINS the

demurrer as to the fourth cause of action for breach of the implied covenant of good faith and fair dealing, WITHOUT leave to amend.

The SAC alleges a breach of implied covenant claim based on conditions related to occupancy of 7992 West Sunset. (See, e.g., SAC, ¶ 170.)

However, as with the Court's prior Orders, the Court again finds that this claim is duplicative of the claim for breach of contract, here pleaded as the first cause of action. (Compare SAC, ¶¶ 139-144, with ¶¶ 167-173.) The purpose of both claims is to make Plaintiff whole for alleged failure to live up to the parties' agreements related to occupancy and use of the 7992 West Sunset space.

A general demurrer for sufficiency may be sustained against duplicative claims. (*Palm Springs Villas II Homeowners Assn., Inc. v. Parth* (2016) 248 Cal.App.4th 268, 290 ("Palm Springs") ["a cause of action for breach of governing documents [that] appear[ed] to be duplicative of [a] cause of action for breach of fiduciary duty" is "recognized ... as a basis for sustaining a demurrer"]; *Rodrigues v. Campbell Industries* (1978) 87 Cal.App.3d 494, 501 [finding demurrer was properly sustained without leave to amend as to cause of action that contained allegations of other causes and "thus add[ed] nothing to the complaint by way of fact or theory of recovery"]; see also *Award Metals, Inc. v. Superior Court* (1991) 228 Cal.App.3d 1128, 1135, opn. mod. Apr. 10, 1991 [demurrer should have been sustained as to duplicative causes of action].)

In *Palm Springs*, the court of appeal found that "the cause of action [therein pleaded] for breach of governing documents appear[ed] to be duplicative of the cause of action for breach of fiduciary duty," supporting a finding that "the trial court properly sustained [a] demurrer" to the breach of governing documents claim, particularly where "[t]he [the pleading party] d[id] not address [the demurring party's] argument or explain how its document claim differ[ed] from the fiduciary breach claim." (*Palm Springs*, supra, 248 Cal.App.4th at p. 290.) The specific factual allegations at issue in *Palm Springs* were a "cause of action for breach of fiduciary duty [that] alleged that [the demurring party] had breached her duties to comply with the governing documents and to avoid causing harm to the [pleading party] by, among other things, refusing to submit bids or contracts to the Board, 'unilaterally terminating'

PPM, and signing the contract with Desert Protection,” while, in turn, the “[t]he breach of governing documents cause of action identified CC&R and bylaw provisions and identified actions taken by [the demurring party] in breach of these provisions, including the termination of PPM and entering into the Desert Protection contract.” (Id. at p. 277.)

Here, as with the Orders relating to the Complaint and FAC (see Mar. 10, 2026, Order, pp. 6-7; Jun. 11, 2026, Order, p. 7), and with language as elaborate as Palm Springs—there sufficient to find duplicativeness in pleading, the SAC’s breach of contract and breach of implied covenant claims almost identically relate to Plaintiff’s unfulfilled expectations vis-à-vis obligations arising from lease of the 7992 West Sunset space. (Compare SAC, ¶¶ 139-144, with ¶¶ 167-173.)

Consistent with the Court’s past two Orders, and with Palm Springs, the Court thus determines that the SAC’s fourth cause of action is duplicative of the SAC’s first cause of action, rendering it subject to demurrer again.

iii. Demurrer,
Fifth Cause of Action, Private Nuisance

The Court SUSTAINS the demurrer as to the fifth cause of action for private nuisance, WITHOUT leave to amend.

The fifth cause of action alleges private nuisance based on repeated sewage backups, foul odors, hazardous conditions, and the removal of required parking (SAC, ¶ 177), mirroring the allegations in the Complaint at ¶ 47 and the FAC at ¶ 88.

As reasoned by the Court in relation to the FAC (Jun. 11, 2026, Order, p. 8), Plaintiff has not alleged the breach of any duty independent of the subject leases, for which reason the fifth cause of action is barred by the economic loss rule.

“The economic loss rule provides that, [i]n general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 837.) “[U]nder the economic loss rule, tort recovery for a breach of

contract duty is generally barred ... unless two conditions are satisfied”: (1) “A plaintiff must first demonstrate the defendant’s injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract”; and (2) the defendant’s conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 20-21.)

Here, as with the FAC, Plaintiff has not identified (1) a duty independent of the contract that was violated or (2) injury-causing conduct to persons or property that was not reasonably contemplated by the parties when the November 1, 2018, lease agreement was entered. (Cf. Jun. 11, 2026, Order, p. 8.)

iv. Demurrer,
Sixth Cause of Action, Negligence

The Court also SUSTAINS the demurrer as to the sixth cause of action for negligence, WITHOUT leave to amend, based on the economic loss rule.

While not addressed in the Court’s June 11, 2026, Order, as discussed in the preceding subsection, the economic loss rule bars recovery in tort for harm that could have reasonably been contemplated in contract. Here, the negligence claim, i.e., a tort claim, is premised on the same facts as the fifth cause of action, rendering the sixth cause of action as subject to the demurrer as the private nuisance claim. (Compare SAC, ¶ 177, with ¶¶ 183-184.)

The Court finds insufficient merit to the opposition’s reliance on Southern California Gas Leak Cases (2019) 7 Cal.5th 391, 400-401 for the position that an independent duty arose here. (Opposition, p. 17.) As noted in the reply at page 8, the Gas Leak Cases are distinguishable based on the scale of the industrial accident in that case compared to the sewer line and relatively local and contained allegations in the SAC.

v. Demurrer,
Seventh Cause of Action, Violation of the Unruh Civil Rights Act

The Court likewise SUSTAINS the demurrer as to the seventh cause of action, WITHOUT leave to amend.

The seventh cause of action is premised on Defendants purported removal of access to parking spaces and accommodation related features to parking needed to comply with disability laws. (See, e.g., SAC, ¶ 192.) These allegations mirror the Complaint and FAC in large part. (Complaint, ¶ 68; FAC, ¶ 100.)

As with the Court's prior Orders, the Court determines that the SAC's Unruh violations claim is barred by the claim's statute of limitations.

Claims under the Unruh Civil Rights Act are subject to one of two statutes of limitations. For claims derived from the common law, a two-year statute of limitations applies. (See *Gatto v. County of Sonoma* (2002) 98 Cal.App.4th 744, 756-759 (*Gatto*) [the statute of limitations for personal injury actions governs claims involving liability derived from common law]; see also Code Civ. Proc., § 335.1.) For claims based on a statutory liability that did not exist at common law, a three-year statute of limitations applies. (See *Gatto*, *supra*, at p. 759; Code Civ. Proc., § 338, subd. (a).)

Earlier in this litigation, the Complaint initially alleged that the elimination of parking-related services occurred in 2019, well before the filing of the Complaint in 2025, putting the claim beyond the statute of limitations, a deficiency recognized by the Court as against the Complaint (Mar. 10, 2026, Order, pp. 10-11), and which the FAC failed to remedy based on conclusory tolling allegations (Jun. 11, 2026, Order, pp. 9-10, citing FAC, ¶¶ 106-107).

Here, as with the Court's June Order, the Court determines that the seventh cause of action is, in essence, a sham as to discovery of the trigger of the limitations period beyond 2019, with the SAC simply adding language seeking to invoke the continuing violations doctrine, which is conclusorily alleged. (See, e.g., SAC, ¶¶ 194-195; cf. FAC, ¶¶ 106-107.)

vi. Demurrer,
Eighth Cause of Action, Breach of Fiduciary Duty/Duty Arising from Confidential

Relationship

Last, the Court SUSTAINS the demurrer as to the eighth cause of action, WITHOUT leave to amend.

The SAC alleges a breach of fiduciary duty from Defendant Rickard to Plaintiff as based on Rickard being Plaintiff's agent during the lease agreement transactions around November 2018. (See, e.g., SAC, ¶¶ 199-206.) These allegations mirror the Complaint and FAC. (Complaint, ¶ 75; FAC, ¶ 115.)

As with the Court's Orders related to the Complaint and FAC, the Court again determines that the breach of fiduciary duty claim is defeated by the terms in the November 1, 2018, lease agreement for the 7992 West Sunset space, attached to the Complaint and FAC as Exhibit B, and providing that "[t]enant acknowledges that it is not being represented by any broker or agent." (Complaint & FAC at Ex. B, § 55 at p. 31.)

The SAC's allegations do nothing to remedy this shortcoming, instead omitting the November 1, 2018, lease agreement from the pleadings, and attempting to plead around this defect by conclusorily alleging superior and exclusive knowledge. (See, e.g., SAC, ¶¶ 203-204.)

d. Conclusion

Defendants 7980 Sunset Associates, Coral Realty, Inc., and A. Douglas Rickard's demurrer is accordingly SUSTAINED as to causes of action two through eight, WITHOUT leave to amend.

Defendants 7980 Sunset Associates, Coral Realty, Inc., and A. Douglas Rickard are ordered to give notice.

Parties who intend to submit on this tentative must send an email to the court at smcdept731@lacourt.org indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party's email must include the case number and

must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.

DATED: September 22, 2026 _____

MARK C. KIM

Judge of the
Superior Court